August 14, 2026 04:00 AM GMT

Airbus SE | Europe

Narrative Shift Yet To Be Priced

WHAT'S CHANGED		
Airbus SE (AIR.PA)	From	To
Price Target	€227.00	**€255.00**

The shares have had a great run, but we think the recent introduction of medium-term guidance and a buyback represents an important shift in the equity story that is yet to be fully appreciated. We see upside to guidance, consensus, and the share price. PT upped to €255. Consistency is key from here.

Our View: Airbus shares are up ~35% from their March lows, driven by improving execution, strong financials, and the introduction of medium-term guidance and a buyback at last month's Business Update - tangible evidence of management's growing confidence in the outlook, in our view. Looking ahead, we acknowledge the catalyst path is lighter for the next few months. But the shares remain attractively priced on just 11x EV/EBIT 2028, and we think consistent execution into year end should build further investor confidence in the medium-term outlook as the group delivers on the ramp up. Against this improving backdrop, we remain OW, nudging up our earnings estimates and raising our PT to €255 (from €227).

We View New Medium-Term Guidance As A Floor: The setting of 2029 financial targets sends a strong signal to the market, indicating a higher degree of confidence in the group's execution and earnings visibility. We think the Adj. EBIT target of €12-13bn is a reasonable starting point, but could prove conservative.

As an example, the Airbus Commercial division target of ~€10bn adj. EBIT in 2029 is in-line with our current forecast. Yet the assumptions underpinning our forecast are conservative on multiple fronts: (i) 1,066 deliveries, more than 10% below the ~1,200 deliveries implied by management's production rate targets; (ii) stable annual list price inflation (i.e. no incrementals); (iii) no change in the assumed discount rate to realised price; and (iv) only limited operating leverage at the gross profit level, primarily reflecting better fixed cost absorption from prior years' investments in footprint and people. We maintain R&D as a proportion of sales flat at ~5%, assume a blended EUR/USD rate of 1.22 (in-line with guidance but vs 1.15 current spot), and continue to include an annual €250m of negative EBIT 'buffer' which mechanically suppresses the margin.

Taken together, our assumptions are consistent with the conservative approach we have taken to forecasting the Airbus Commercial division since our 2023 initiation (here), given consistent headwinds. Yet our derisked forecast is in-line with management guidance, suggesting upside risk if execution does track to management plans.

Buyback - Signal More Important Than Magnitude: We are less concerned that the size of the buyback is 'only' €5bn, representing ~1% of market cap for each of the three years it is expected to be carried out. For us, the signal it sends is much more

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Airbus SE (AIR.PA, AIR FP)

Aerospace & Defence | France

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**€255.00**
Shr price, close (Aug 12, 2026)	€213.65
52-Week Range	€221.30-157.42
Mkt cap, curr (mn)	€168,473
Net Debt, For Consensus (12/26e) (mn)**	€14,013
EV, curr (mn)*	€156,839

** = Based on consensus methodology
* = GAAP or approximated based on GAAP

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Sales / Revenue (€mn)**	73,420	80,558	89,657	97,615
EBITDA (€mn)**	9,812	11,054	13,090	15,746
EBIT (€mn)**	6,637	7,421	9,040	11,333
EPS (€)**	6.89	7.66	9.30	11.64
Prior EPS (€)**	-	7.57	9.36	11.45
ModelWare EPS (€)	6.87	7.65	9.29	11.63
P/E, basic**	28.8	27.9	23.0	18.3
EV/revenue*	2.0	1.9	1.6	1.5
EV/EBITDA**	14.8	13.5	11.2	9.0
EV/EBIT**	21.8	20.2	16.3	12.6
DPS (€)	3.20	3.07	3.72	4.66
Div yld (%)	1.6	1.4	1.7	2.2
FCF yld ratio (%)**	2.9	3.0	3.9	5.5
Net Debt, For Consensus (€mn)**	12,171	14,013	16,441	20,840
Net debt/EBITDA**	1.2	1.3	1.3	1.3
ROE (%)**	27.7	23.1	24.4	27.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
* = GAAP or approximated based on GAAP
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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important - improving and more predictable cash generation, intrinsic value in the shares, and a willingness to return more capital to shareholders. We think there is room for the programme to be accelerated and/or increased as the group delivers on its growth plans over the medium term.

Forecast changes: In Airbus Commercial, we lower our A350 gross profit margin assumption to reflect a more back-end loaded margin trajectory given lingering launch contracts with unfavourable pricing and freighter learning curve. This is offset by higher Services margin where we now forecast 8% in 2026 rising to 10% in 2028 (guidance for double-digit medium term), vs stable at 7.5% previously. We also update our EUR/USD rate assumptions for the current forward curve, and adj. EBIT sensitivities per 1c from €150m in 2025 to €250m in 2029, per management messaging. Taken together, our Airbus Commercial revenue and profit forecasts are broadly unchanged. In Defence & Space, we raise our margin forecasts following a strong first half and new medium-term guidance - from 7.5% to 7.5-10% mid term, which drives double-digit adj. EBIT upgrades. Elsewhere, we also model in the €5bn share buyback, assuming €500m in FY26 and €1.5bn in each year 2027-29. Our 2026 FCF is raised on strong order activity and H1 performance.

We Now Sit Above Guidance For FY26: While our Commercial delivery targets are unchanged at 870, in-line with guidance, we now forecast €7.9bn of adj. EBIT (guidance ~€7.5bn; cons €7.7bn), driven by higher Defence margins. Our FCF forecast of €5.0bn compares to guidance of ~€4.5bn (cons €4.7bn), on better execution and higher orders.

PT to €255: in our SOTP, we mark-to-market for current peer multiples and reduce our Commercial division discount to peers to ~5% from ~10%, reflecting better execution and higher confidence in the outlook. In our DCF, we raise our terminal adj. EBIT margin assumption by 100bp to 14% to reflect further upside to underlying margins beyond decade end.

Exhibit 1: Forecast Changes - Airbus

€m	FY26			FY27			FY28		
	Old	New	% Change	Old	New	% Change	Old	New	% Change
Airbus	57,899	58,339	1%	65,905	66,233	0%	72,307	73,145	1%
Defence and Space	14,531	14,531	0%	15,508	15,508	0%	16,284	16,284	0%
Helicopters	9,372	9,372	0%	9,789	9,789	0%	10,225	10,225	0%
Revenues	**80,127**	**80,558**	**1%**	**89,336**	**89,657**	**0%**	**96,794**	**97,615**	**1%**
Airbus	5,902	5,918	0%	7,517	7,313	-3%	9,406	9,368	0%
Defence and Space	917	1,017	11%	1,055	1,163	10%	1,190	1,303	10%
Helicopters	984	964	-2%	1,052	1,056	0%	1,125	1,154	3%
EBIT Adjusted	**7,826**	**7,912**	**1%**	**9,649**	**9,531**	**-1%**	**11,744**	**11,824**	**1%**
Airbus	10.2%	10.1%	-5bps	11.4%	11.0%	-36bps	13.0%	12.8%	-20bps
Defence and Space	6.3%	7.0%	69bps	6.8%	7.5%	70bps	7.3%	8.0%	70bps
Helicopters	10.5%	10.3%	-22bps	10.8%	10.8%	3bps	11.0%	11.3%	28bps
EBIT Adjusted Margin	**9.8%**	**9.8%**	**5bps**	**10.8%**	**10.6%**	**-17bps**	**12.1%**	**12.1%**	**-2bps**
Net Income Adjusted	**5,960**	**6,024**	**1%**	**7,364**	**7,273**	**-1%**	**9,014**	**9,039**	**0%**
EPS Adjusted (€)	**€7.57**	**€7.66**	**1%**	**€9.36**	**€9.30**	**-1%**	**€11.45**	**€11.64**	**2%**
FCF (Airbus definition)	**4,543**	**4,997**	**10%**	**6,832**	**6,600**	**-3%**	**9,466**	**9,062**	**-4%**

Source: Morgan Stanley Research estimates

Risk Reward – Airbus SE (AIR.PA)

Narrative Shift Yet To Be Priced

PRICE TARGET €255.00

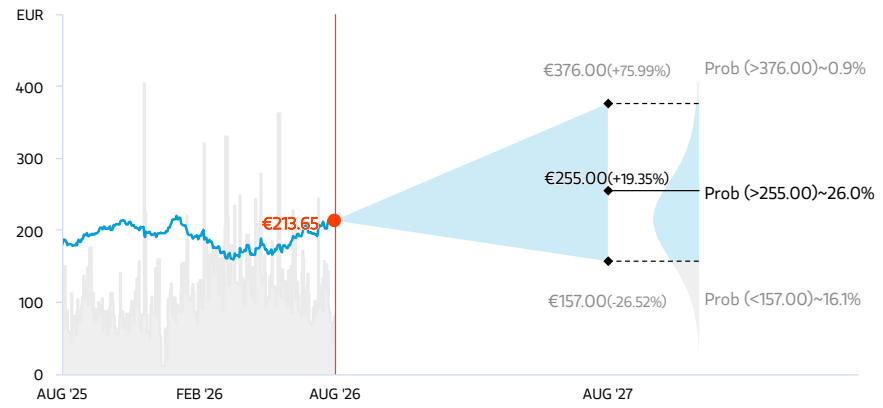
Average of SOTP (€256) and DCF (€254) (WACC 7.25%, long-term growth 3%). Our SOTP applies multiples of 18x EV/EBIT, 23x P/E for Airbus Commercial, a ~5% discount to peers given execution risk; 15x EV/EBIT, 19x P/E for Helicopters, in line with peers; and 14x EV/EBIT, 17x P/E for Defence & Space, a 20% discount to peers to reflect lower margins, restructuring, and Space consolidation risk. Implied group multiples are 17x EV/EBIT and 22x P/E.

Consensus Price Target Distribution €187.00 — €228.10 — €260.00 (MS PT)

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 12 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- Airbus' medium-to-long-term outlook is strong, with a dominant market share in the narrowbody segment and higher capital returns potential.
- The health of the supply chain and the group's ability to ramp up production remain the key drivers of the equity story.
- While the pace of supply chain recovery remains a focus, which we reflect in our below-consensus delivery estimates, the group's backlog of ~9,200 aircraft is robust and provides strong demand visibility.
- Even on our lower ramp-up trajectory assumption, we anticipate strong earnings and cash generation to the end of the decade and beyond. Valuation metrics on this basis look attractive.

Consensus Rating Distribution

84%	Overweight
16%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Secular Growth:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE €376.00

Production ramp up in-line with guidance

- Group revenue CAGR (3-year 2025-28) of 12% driven by Airbus Commercial (14% CAGR) meeting production rates set by management (including 75pm in 2027).

- Group EBIT margin expansion of 460bp to 14.3% in 2028, including Airbus Commercial at 15.0% on higher A320neo volumes and mix.

- Multiples-based approach applies 21x to 2028 EBIT and 26x to 2028 EPS.

BASE CASE €255.00

Cautious commercial production ramp-up

- Group revenue CAGR (3-year 2025-28) of 10% driven by Airbus Commercial (12% CAGR), assuming production rates are lower and later than management forecast, with the A320neo reaching a maximum rate of 70 per month.

- Group EBIT margin expansion of 240bp to 12.1% in 2028, including Airbus Commercial at 12.8%.

- Multiples-based approach applies 17x to 2028 EBIT and 22x to 2028 EPS.

BEAR CASE €157.00

Slower production ramp-up

- Group revenue CAGR (3-year 2025-28) of 8% with Airbus Commercial at 10% due to slower production ramp up.

- Group EBIT margin expands only 50bp to 10.3% in 2028 due to lower than expected A320neo margins on lower volumes, and a higher mix of Helicopters and Defence revenues.

- Multiples-based approach applies 12x to 2028 EBIT and 17x to 2028 EPS.

Risk Reward – Airbus SE (AIR.PA)

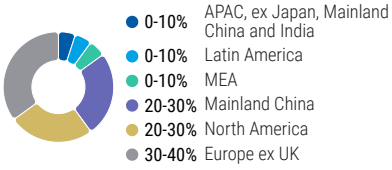
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Commercial Aircraft deliveries (#)	793	870	975	1,041
Commercial Aircraft Margin (%)	10.4	10.1	11.0	12.8
Group R&D % of sales (%)	4.3	4.4	4.5	4.6
Group Operating Margin (%)	9.7	9.8	10.6	12.1
FCF Conversion (%)	0	85	91	100

INVESTMENT DRIVERS

- Airbus Commercial production and delivery rates
- Profitability on A320 programme, as well as widebody aircraft
- Long-term air traffic demand trajectory
- ESG considerations

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Supply chain recovers faster than expected, allowing commercial deliveries to meet or exceed guidance / consensus.
- A320neo and A350 gross margins exceed expectations (mix, pricing, efficiencies).
- Share buyback accelerated and/or raised.

RISKS TO DOWNSIDE

- Supply chain fails to recover sufficiently to support production ramp-up plans.
- Air traffic demand weakens.
- Defence restructuring fails to achieve desired aims.

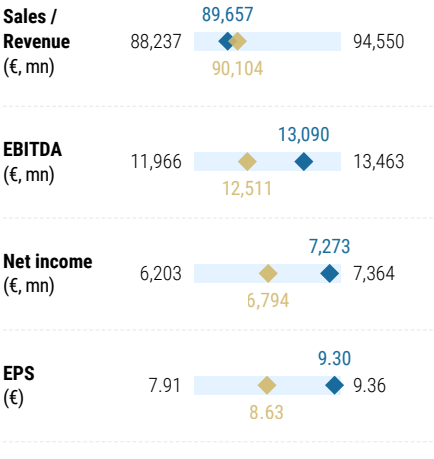
OWNERSHIP POSITIONING

Inst. Owners, % Active	68.5%
HF Sector Long/Short Ratio	3.1x
HF Sector Net Exposure	33.4%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

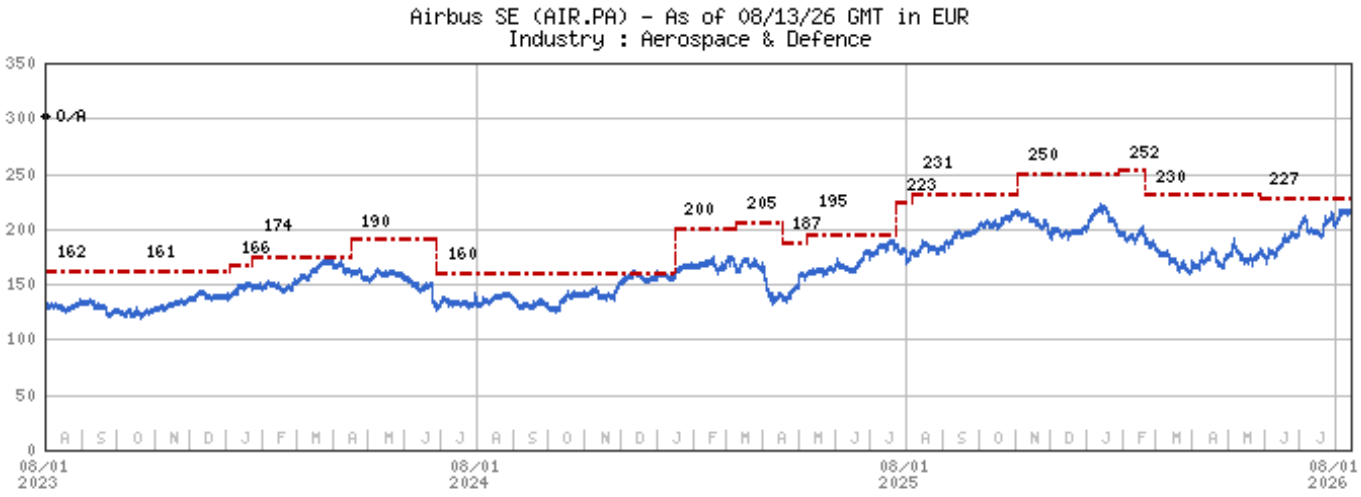
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/1/21 : O/I; 9/30/22 : NA/NR; 4/13/23 : NA/NR; 6/13/23 : O/A

Price Target History: 7/19/21 : 120; 1/19/22 : 135; 2/17/22 : 137; 6/27/22 : 135; 9/30/22 : NA; 6/13/23 : 162; 10/16/23 : 161; 1/5/24 : 166; 1/24/24 : 174; 4/16/24 : 190; 6/28/24 : 160; 1/16/25 : 200; 3/10/25 : 205; 4/17/25 : 187; 5/9/25 : 195; 7/23/25 : 223; 8/6/25 : 231; 11/4/25 : 250; 1/28/26 : 252; 2/20/26 : 230; 5/28/26 : 227

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Kristine T Liwag		
Elbit Systems Ltd (ESLT.O)	E (12/11/2025)	US$779.51
Marie-Ange Riggio		
Indra (IDR.MC)	O (07/14/2026)	€64.78
Kongsberg Gruppen ASA (KOG.OL)	U (07/07/2026)	NKr 330.10
Melrose Industries PLC (MRON.L)	E (09/06/2024)	493p
Rheinmetall AG (RHMG.DE)	O (07/03/2024)	€1,168.20
Saab AB (SAABb.ST)	O (07/07/2026)	SKr 674.80
Ross Law, CFA		
Airbus SE (AIR.PA)	O (06/13/2023)	€213.65
BAE Systems PLC (BAES.L)	O (06/13/2023)	2,270p
CSG N.V. (CSG.AS)	O (03/05/2026)	€18.45
Dassault Aviation SA (AM.PA)	E (06/13/2023)	€320.40
Hensoldt AG (HAGG.DE)	E (01/28/2026)	€92.12
Leonardo SpA (LDOF.MI)	O (01/16/2025)	€59.74
MTU Aero Engines AG (MTXGn.DE)	E (06/13/2023)	€377.40
Rolls-Royce Holdings PLC (RR.L)	O (11/08/2023)	1,546p
Safran SA (SAF.PA)	E (01/16/2025)	€363.60
Thales SA (TCFP.PA)	E (01/24/2024)	€271.90

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